

Cambridge International AS & A Level

ECONOMICS

Paper 1 AS Multiple Choice

9708/11

May/June 2026

1 hour

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid or tape.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

This document has **12** pages. Any blank pages are indicated.

1 What is an example of a want rather than a need?

- A clothing
- B food
- C holiday
- D water

2 Which combination would occur for a demerit good?

	impact on the consumer	amount consumed
A	negative	over-consumed
B	negative	under-consumed
C	positive	over-consumed
D	positive	under-consumed

3 A school leaver decides to study for a degree in accountancy at university rather than take a job as a trainee accountant.

What will increase the opportunity cost of this decision?

- A A rise in students failing to complete accountancy degree courses.
- B A rise in the hours worked by trainee accountants.
- C A rise in the university tuition fees for accountancy degree courses.
- D A rise in the wage rate for trainee accountants.

4 Which statement is normative?

- A A minimum wage is the correct government policy to increase the incomes of the lowest paid workers.
- B A minimum wage is the lowest amount that employers can legally pay their workers.
- C In Pakistan, a minimum wage of 15 000 Pakistani rupees per month was set on 1 June 2016.
- D Setting the minimum wage rate above the equilibrium will result in an excess supply of workers.

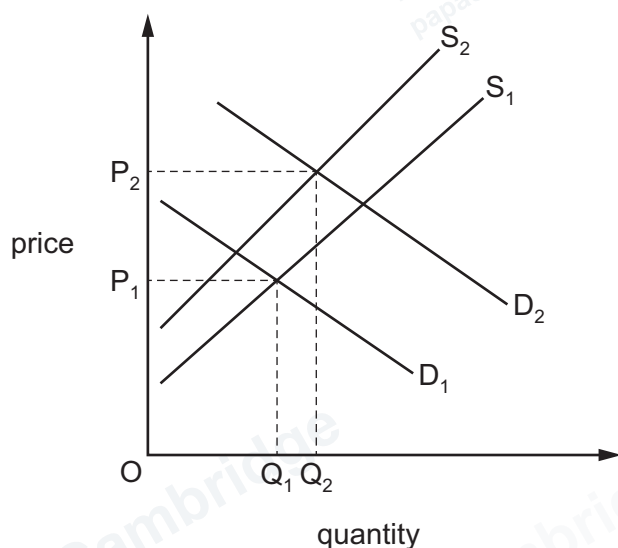
5 What will always increase when the production possibility curve (PPC) shifts outwards?

- A employment
- B exports
- C output
- D productive capacity

6 What describes a market supply curve?

- A It is downward sloping.
- B It is the same as the aggregate supply curve.
- C It is the sum of all firms' supply curves for a product.
- D It is the supply of all products within an economy.

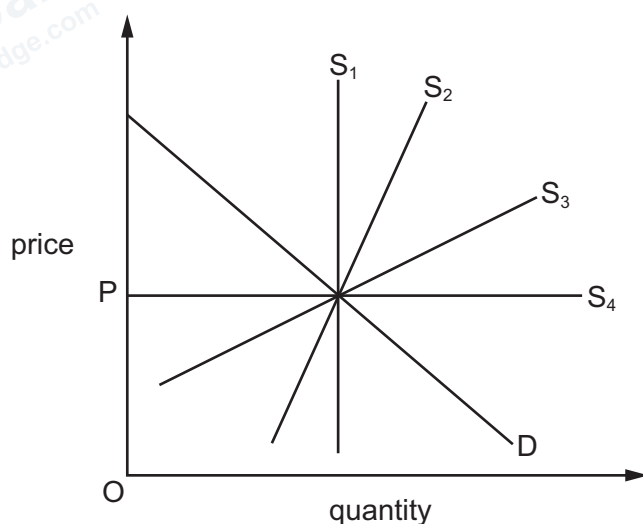
7 The diagram shows the demand and supply curves of a normal good (X). Q_1P_1 is the initial equilibrium.



Other things being equal, what may cause the change in the market equilibrium to Q_2P_2 ?

- A a fall in household incomes and an increase in interest rates
- B a rise in workers' real wages in all sectors of the economy
- C an increase in income tax and a rise in the specific tax levied on X
- D an increase in the price of a substitute product for X and a fall in the costs of producing X

- 8 Which statement defines the income elasticity of demand?
- A It measures the responsiveness of income to a change in quantity demanded.
 - B It measures the responsiveness of income to a change in price.
 - C It measures the responsiveness of quantity demanded to a change in income.
 - D It measures the responsiveness of quantity demanded to a change in price.
- 9 What is **not** a factor affecting price elasticity of supply?
- A level of spare capacity
 - B price of complementary products
 - C resources available
 - D time period over which elasticity is measured
- 10 The diagram shows the market for a good that has an initial equilibrium price P.



The demand for the good increases by a fixed quantity at every price.

Which supply curve will leave the value of the consumer surplus unchanged?

- A S_1 B S_2 C S_3 D S_4

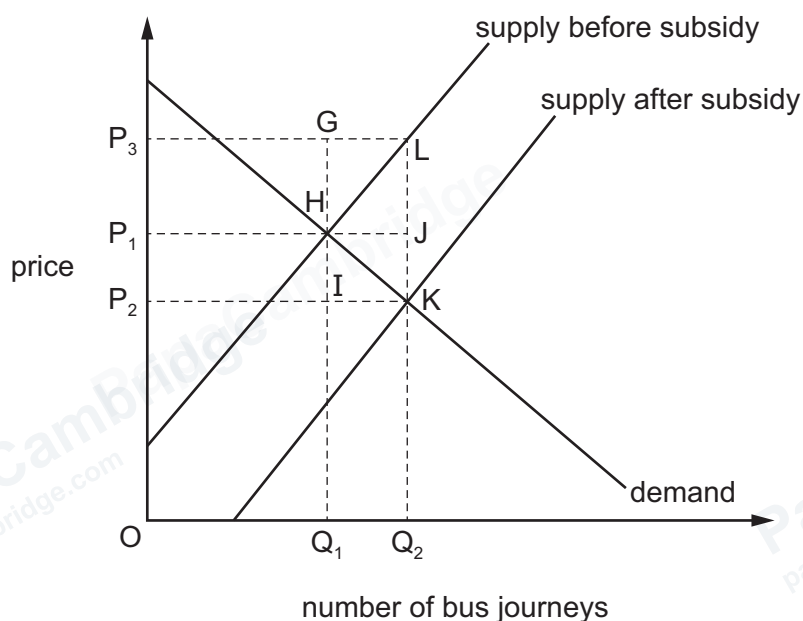
- 11 Doctors are concerned about the negative health effects of sugary drinks.

When would a tax on sugary drinks be **least** effective in improving health?

- A when the demand for sugary drinks is income elastic
 - B when the demand for sugary drinks is income inelastic
 - C when the demand for sugary drinks is price elastic
 - D when the demand for sugary drinks is price inelastic
- 12 Which item would be included in the calculation of a person's wealth?

- A the dividend on shares owned by the person
- B the interest on the person's savings account
- C the value of the house owned by the person
- D the wages paid for the person's work

- 13 The diagram shows the market for bus services before and after a government subsidy.



Which area on the diagram shows the incidence of the subsidy for the consumer?

- A P_1HIP_2
- B P_1JKP_2
- C P_2IGP_3
- D P_2KLP_3

14 What is **not** a reason for government intervention in a market economy?

- A discouraging the consumption of demerit goods
- B overcoming information failure
- C raising the provision of merit goods
- D reducing competition in the economy

15 The market for good X is in equilibrium with 1000 units sold at a price of \$10. The government puts a specific tax of \$1 per unit on the producers of good X.

Which value for the price elasticity of demand for good X will generate the largest tax revenue?

- A 0 B 0.5 C 1.0 D 1.5

16 Which adjustments are needed to change Gross Domestic Product (GDP) at basic prices to GDP at market prices?

	indirect taxes	subsidies
A	add	add
B	add	subtract
C	subtract	add
D	subtract	subtract

17 Nominal GDP of a country at current market prices was \$1000bn in year 1. In year 2, its nominal GDP had risen to \$1050bn.

What happened to real GDP if the general price level had increased by 10% over the same period?

- A Real GDP decreased by approximately 5%.
- B Real GDP decreased by approximately 10%.
- C Real GDP increased by approximately 5%.
- D Real GDP increased by approximately 10%.

18 What would be an injection into the circular flow of income?

- A an increase in imports
- B an increase in investment
- C an increase in savings
- D an increase in taxation

19 In which situation would an increase in consumption **not** cause an increase in real GDP?

- A the current rate of GDP growth is less than the country's target rate
- B the economy is experiencing low rates of inflation
- C the economy is in recession
- D the economy is operating at full capacity

20 The UK inflation rate as measured by the Consumer Price Index (CPI) was 5.2% in September 2011. In June 2014, the UK inflation rate as measured by the CPI was 1.6%.

What can be concluded about the period September 2011 to June 2014?

- A Fixed income earners had increased purchasing power.
- B Prices were falling.
- C The rate of price increases was slowing.
- D The real rate of interest became positive.

21 The table shows government revenue and expenditure of four countries as a percentage of GDP in 2000 and 2010.

Which country moved from a budget deficit position in 2000 to a budget surplus in 2010?

		revenue (% of GDP)		expenditure (% of GDP)	
		2000	2010	2000	2010
A	France	50.2	49.5	51.7	56.6
B	Norway	57.7	56.7	42.3	45.5
C	Sweden	58.7	52.4	55.1	52.5
D	Switzerland	35.2	34.0	35.6	33.8

22 Some countries experienced a recent decline in investment spending.

What might be done to stop such a decline?

- A increase quotas on imports
- B lower interest rates
- C raise income tax
- D set up training courses

- 23 What is a reason for a government policy that aims at achieving a low and stable rate of inflation?
- A Consumers are encouraged to increase spending on imports.
 - B Firms are encouraged to increase the level of production.
 - C The central bank is encouraged to increase the interest rate.
 - D The government is encouraged to increase the rate of income tax.
- 24 What is an objective of supply-side policy?
- A to shift the short-run aggregate supply (SRAS) curve to the left
 - B to shift the short-run aggregate supply (SRAS) curve to the right
 - C to shift the long-run aggregate supply (LRAS) curve to the left
 - D to shift the long-run aggregate supply (LRAS) curve to the right
- 25 What is most likely to improve the effectiveness of an expansionary fiscal policy in an economy?
- A a fall in consumer confidence
 - B a fall in the size of the labour force
 - C an increase in interest rates
 - D an increase in the money supply
- 26 Which measure would **not** be part of a government subsidy to protect domestic producers from competition?
- A import quotas
 - B interest-free loans provided by the government
 - C reductions in profits (business) taxes
 - D financial help given to local firms

- 27 The table shows different possible outputs of apples and bananas for country X and country Y assuming only two goods are produced and all resources are used to their maximum.

	apples		bananas
country X	100	or	80
country Y	50	or	25

Country Y decides to specialise in the production of the good in which it has a comparative advantage.

Country X decides to use 75% of its resources to produce the good in which it has a comparative advantage and 25% of its resources to produce the other good.

What will be the total output?

	apples	bananas
A	50	80
B	75	45
C	75	60
D	150	120

- 28 Why may a government introduce a floating exchange rate?

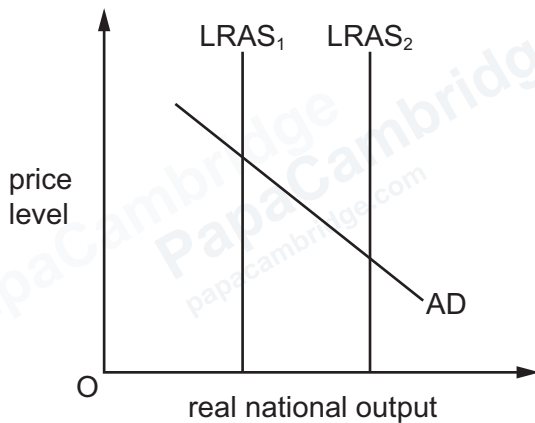
- A** it allows government more independence in policy making
- B** it eliminates the instability of free markets
- C** it gives firms more confidence in future costs and prices
- D** it increases foreign exchange reserves

- 29 The table shows an extract from a country's balance of payments.

	credits (\$bn)	debits (\$bn)
trade in goods	250	300
trade in services	80	40
primary income	100	60
secondary income	20	25

What is the current account balance?

- A deficit of \$10bn
 B deficit of \$50bn
 C surplus of \$25bn
 D surplus of \$30bn
- 30 The diagram shows the aggregate demand (AD) curve and two long-run aggregate supply (LRAS) curves for an economy.



The government has reduced spending on welfare payments and increased spending on training for employment, so causing the shift from LRAS₁ to LRAS₂.

What is most likely to happen as a result of this policy?

- A An improvement in the current account of the balance of payments.
 B An increase in inflation.
 C An increase in the budget deficit.
 D An increase in unemployment.

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